Module 5

ITIL Guiding Principles

Syllabus

4.2 The ITIL Guiding Principles

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- 4.2.9 Describe the interaction of the ITIL Guiding Principles and how they work together (5.2.8)

What you will learn

By the end of this module, you will be able to:

- explain how the ITIL Guiding Principles should be applied in different contexts
- describe how the ITIL Guiding Principles interact to support effective decision-making and continual improvement
- explain how feedback contributes to value co-creation.

What is an ITIL Guiding Principle?

The ITIL Guiding Principles are **recommendations** that can **guide** an organization in **all circumstances**, regardless of changes in its goals, strategies, type of work or management structure.

Overview of the ITIL Guiding Principles

Figure 1.8 The ITIL Guiding Principles

Focus on value

All activities conducted by the organization should link back, directly or indirectly, to **value** for the organization itself, its **customers**, and other **stakeholders.**

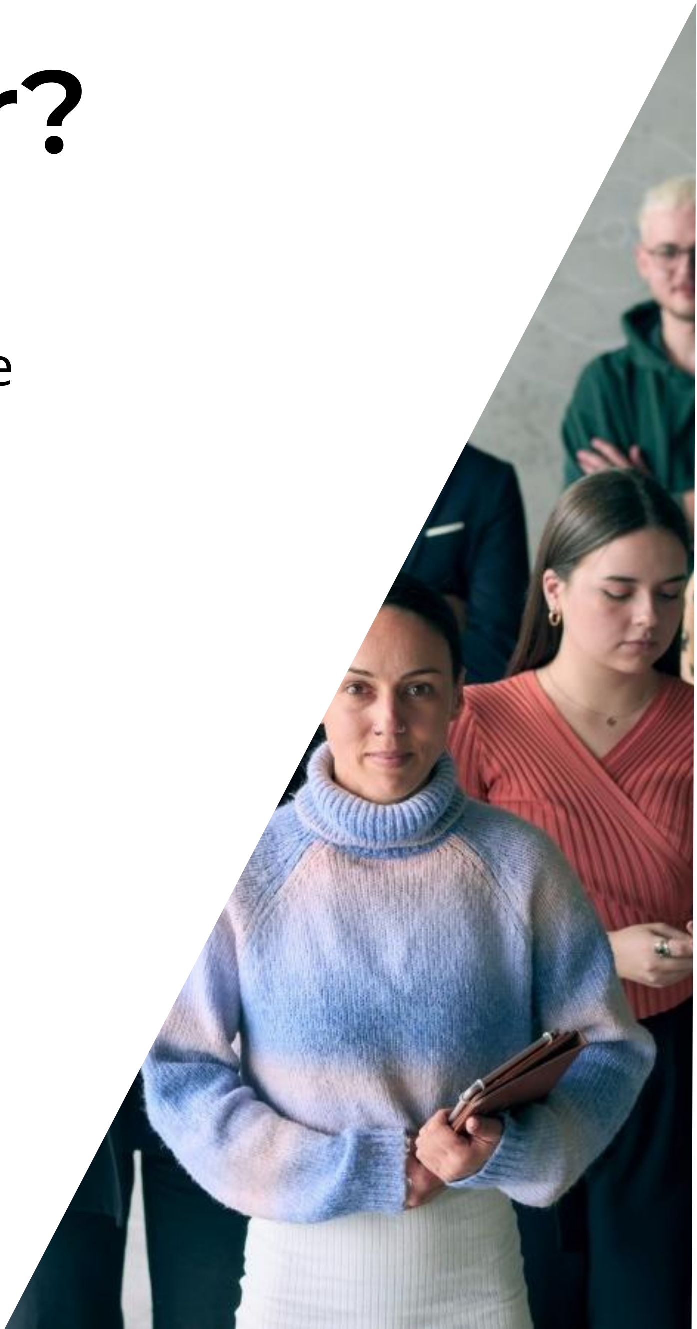
Focus on value

Who is the service consumer?

When focusing on value, the first step is to know who is being served. In each situation, the service provider must determine who the service consumer and key stakeholders are.

The service provider needs to know:

- why the consumer uses the services
- what the services help them do
- how the services help them achieve their goals
- how do they feel when using the services
- the role of cost/financial consequences for the service consumer
- the risks involved for the service consumer.



Value for the consumer

Understanding **what is truly of value** to the service consumer is essential.

The value for the service consumer:

- is defined by their own needs
- is achieved through the support of intended outcomes and optimization of the service consumer's costs and risks
- is subjective and influenced by the service experience
- changes over time and in different circumstances.

Applying the principle

Know **how** service consumers **use** each service.

Encourage a **focus on value** among all staff.

Focus on value **during normal operational activity,** as well as during improvement initiatives.

Include focus on value in **every step** of any improvement initiative.

Leverage AI: real-time insights to anticipate needs and improve relevance.

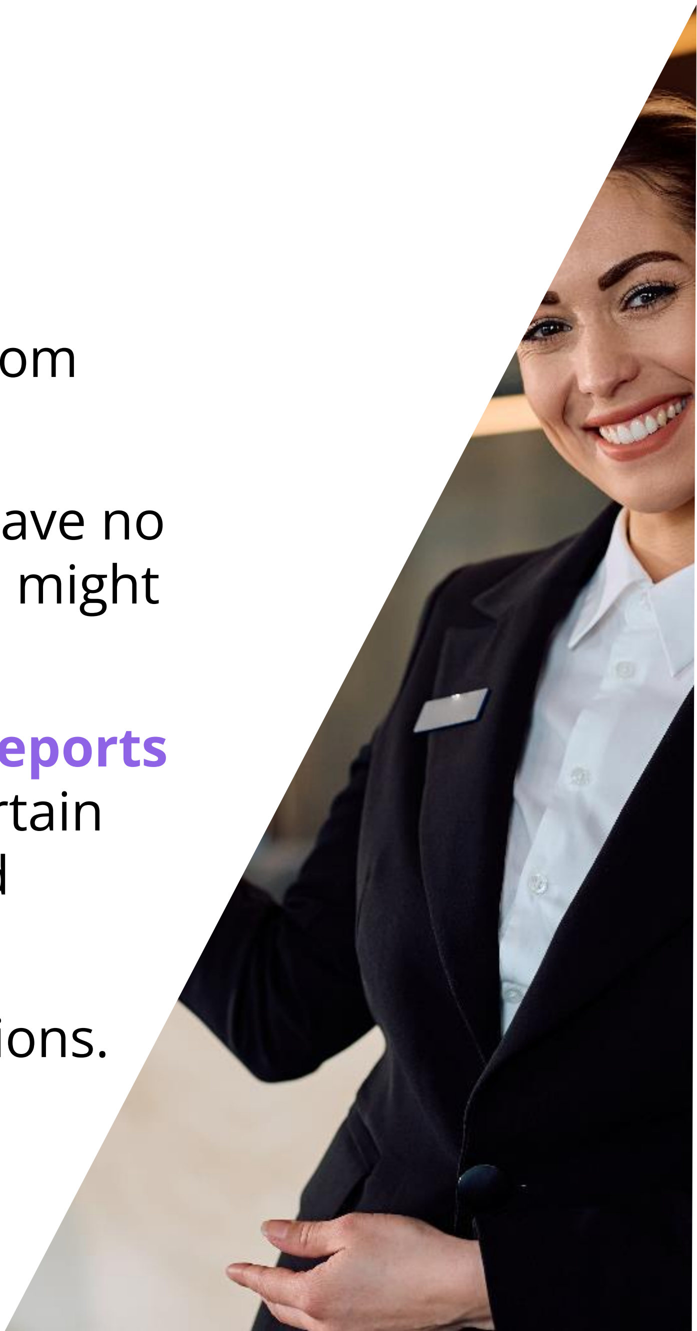
Start where you are

Start where you are

In the **process of eliminating** old, unsuccessful methods, products, or services and creating something better, there can be a strong impulse to remove what has been done in the past and build something completely new. This is **rarely necessary or a wise decision.** This approach can be extremely wasteful. **Do not start over** without first considering **what is already available** to be leveraged.

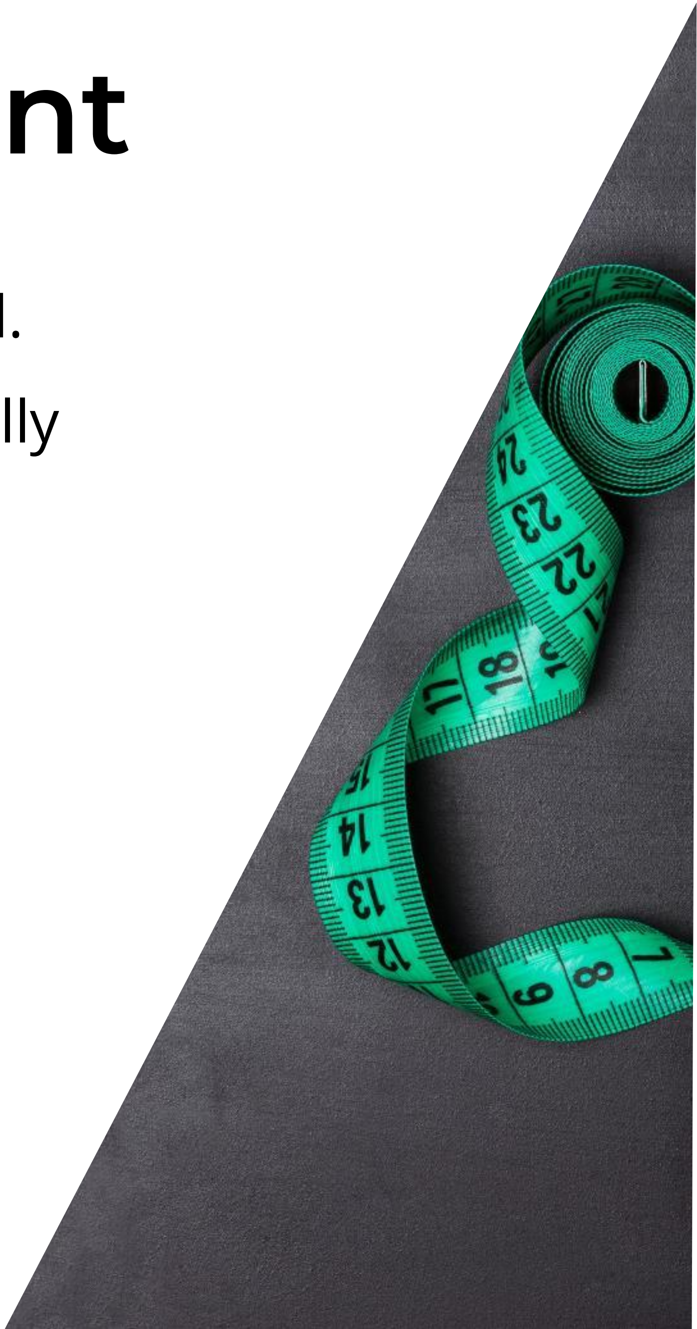
Assess where you are

- **Directly observe** and measure existing **services and methods** to properly understand the **current state** and what can be re-used from them.
- Have a **person** with little or no prior **knowledge** observe, as they have no **preconceptions** and may notice things that those closely **involved** might overlook.
- Within organizations, there is frequently a **discrepancy between reports and reality**. This is due to the difficulty of accurately measuring certain data or the unintentional bias or distortion of data that is produced through **reports**.
- When **observing** an activity, do not be **afraid** to ask **'stupid'** questions.
- Base **decisions** on accurate information.



The influence of measurement

- Use **measurement** to support, not replace, what is observed.
- Over-reliance on **data analytics/reporting** can unintentionally introduce bias/risk into decision-making.
- The act of **measuring** can sometimes affect **results**, making them inaccurate.
- Make metrics **meaningful** and **directly** related to desired outcomes.



Applying the principle

Evaluate the **current state**.

Identify and build on **successful existing practices**.

Apply your **risk management** skills.

Leverage AI: automation helps organizations optimize resources and improve efficiency.

Recognize that sometimes **nothing from the current state can be reused**.

Progress iteratively with feedback

Progress iteratively with feedback

Product and service management iterations can be **sequential or simultaneous**, with multiple feedback loops between them. This also applies to practice or work method improvement iterations. Each individual iteration should be both **manageable** and **managed**, ensuring that tangible results are returned in a timely manner and built upon to create further improvement.

The use of feedback loops

Feedback

Information about stakeholder reactions and opinions, which is used as a basis for improvement.

Feedback loop

A term commonly used to refer to a situation where part of the output of an activity is used for new input.

This means feedback must be built into every iteration to include:

- **re-evaluating** initiatives and their component iterations to reflect changes in **circumstances,** seeking and using **feedback** before, throughout, and after each **iteration**
- loops to help them know where work comes **from,** where **outputs** go and how their **actions** affect **outcomes.**

The role of feedback

Feedback ensures actions are focused and appropriate even in changing circumstances.

Well-constructed mechanisms help with the understanding of key value perception, efficiency/effectiveness, governance, supplier/partner, and changing demand.

Stakeholder feedback can be structured/unstructured, solicited/unsolicited, captured throughout the service journey.

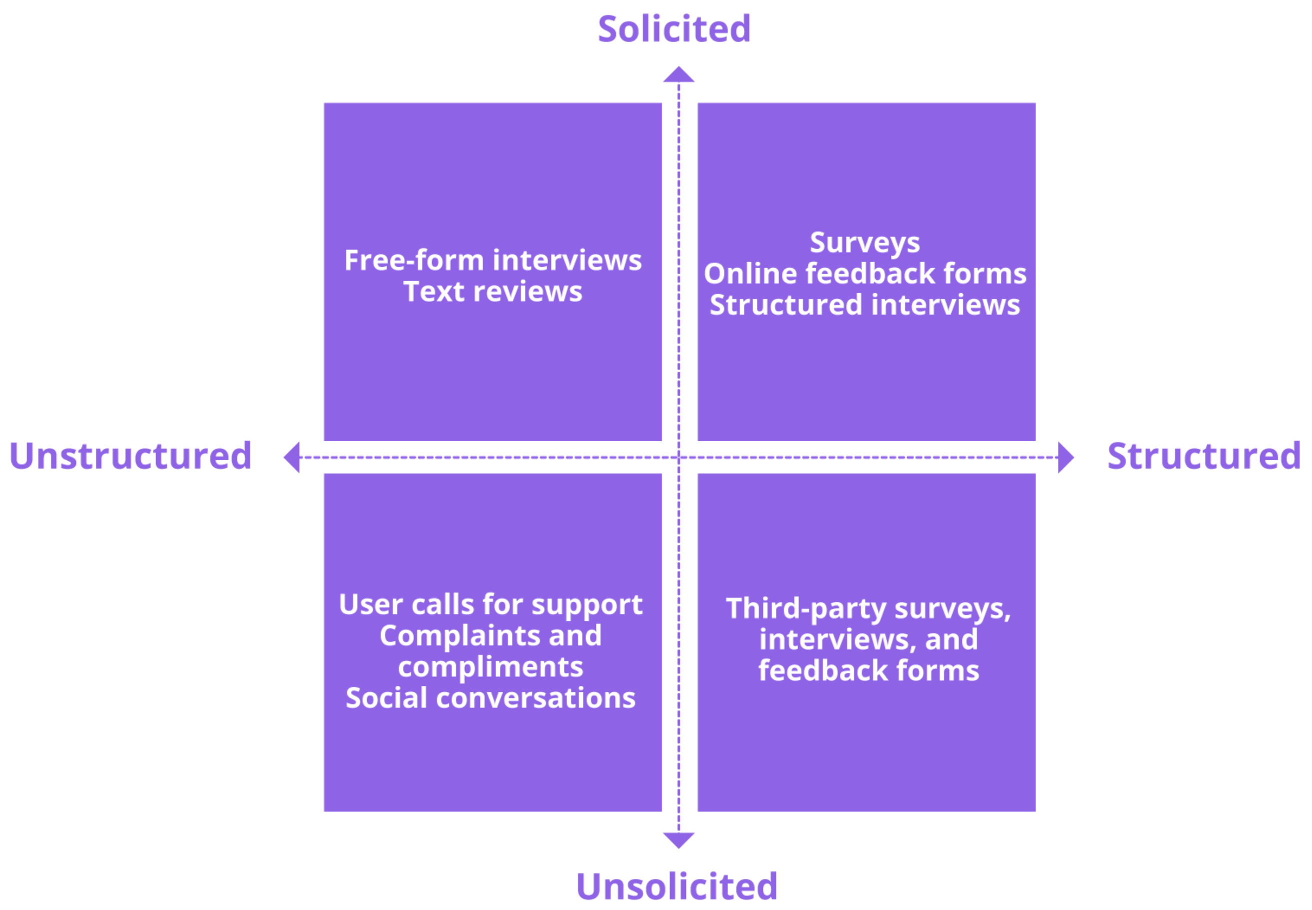


Figure 5.1 Types and examples of stakeholders' opinions that can be captured by a service provider

Combining iteration and feedback

Working in a **timeboxed,** iterative manner, with embedded **feedback** loops into **workflow** allows for:

- greater flexibility
- faster responses to customer and business needs
- the ability to detect and respond to failures earlier
- an overall improvement in quality.

Applying the principle

Comprehend the **whole** but do something.

The **ecosystem** is constantly **changing**, so **feedback** is **essential.**

Fast does **not** mean **incomplete.**

AI processes feedback and metrics to guide **quick changes.**

Collaborate and promote visibility

Collaborate and promote visibility

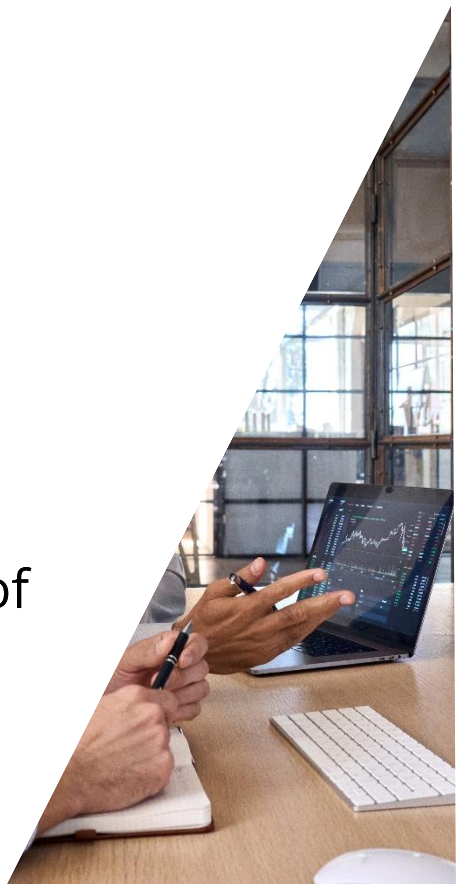
When initiatives involve **the right people** in the correct roles, efforts benefit from **better buy-in**, more relevance (because better information is available for decision-making) and increased likelihood of **long-term success**.

Whom to collaborate with

Identifying and managing stakeholder groups is important, as the people and perspectives needed for successful collaboration can be found within them.

The following are examples of groups where effective collaboration is critical:

- **Customers**: most significant stakeholders.
- **Suppliers**: collaborate to define requirements and brainstorm solutions.
- **Relationship managers**: work with service consumers to understand needs and priorities.
- **Internal and external teams**: review workflows, optimize processes, and identify automation opportunities.
- **Product teams with other internal teams**: ensure effective management of products and services throughout the lifecycle.



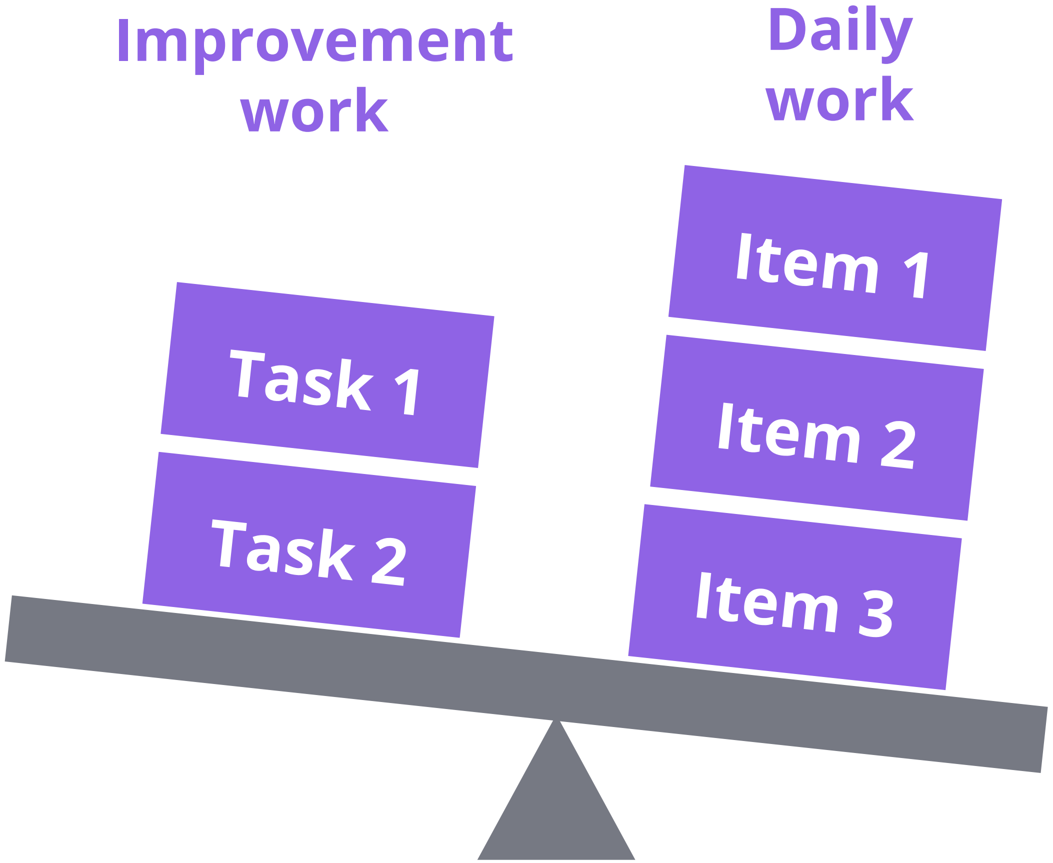
Increasing visibility

Poor visibility of workload and progress risks the work being perceived as a low priority.

Lack of visibility causes poor decisions, disengagement, and low adoption.

To prevent this, organizations should:

- understand the flow of work in progress
- identify bottlenecks, as well as excess capacity
- uncover and eliminate waste.
- use dashboards, Kanban board, and other visual tools.



Applying the principle

Collaboration does not mean **consensus.**

Communication should happen in a way that the audience can hear.

Decisions can only be using **visible data.**

Leverage **AI to break silos** and share insights.

Think and work holistically (1/3)

Think and work holistically

No product, service, practice, process, team, or supplier stands alone. The outputs that the organization delivers to itself, its customers, and other stakeholders will suffer, unless it works in an integrated way to handle its activities as a whole rather than as separate parts.

Think and work holistically (2/3)

In the ITIL VS, holistic approach includes:

- considering all four dimensions of product and service management
- understanding and observing the full product and service lifecycle, even when not all stages of the lifecycle are controlled by the organization or team
- understanding the organization’s position in the supply chain
- understanding and managing products and service’s impact on the service consumers
- continually monitoring and analysing the PESTLE factors affecting the organization.

Think and work holistically (3/3)

Holistic approach means:

- integrating all parts of the organization
- ensuring end-to-end **visibility** (demand to outcomes)
- recognizing interdependencies and impacts of **change**.

In the ITIL VS, it includes:

- the **ITIL Four Dimensions** of Product and Service Management
- full product/service **lifecycle**
- **supply chain** role and dependencies
- impact on service **consumers**
- monitoring external **PESTLE** factors.

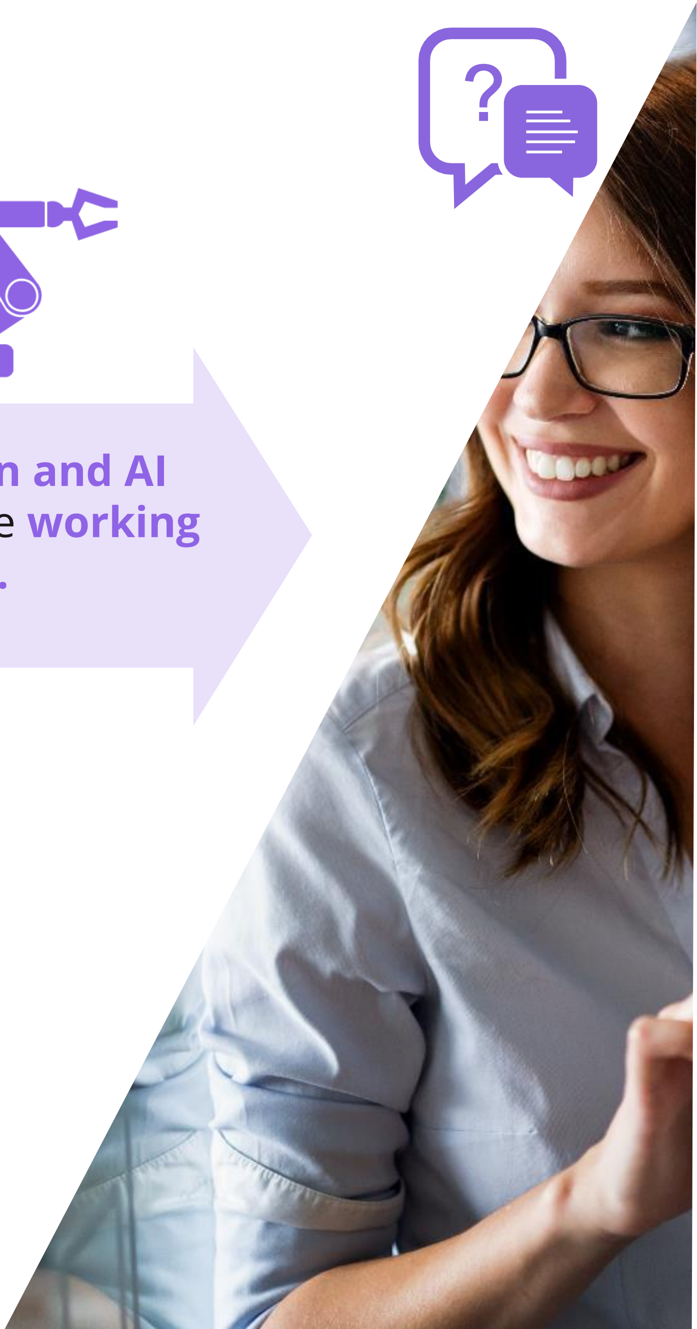
Applying the principle

Recognize the **complexity** of the **systems.**

Collaboration is key to **thinking** and **working** holistically.

Where possible, look for **patterns** in the **interactions** between system elements.

Automation and AI can facilitate **working holistically.**

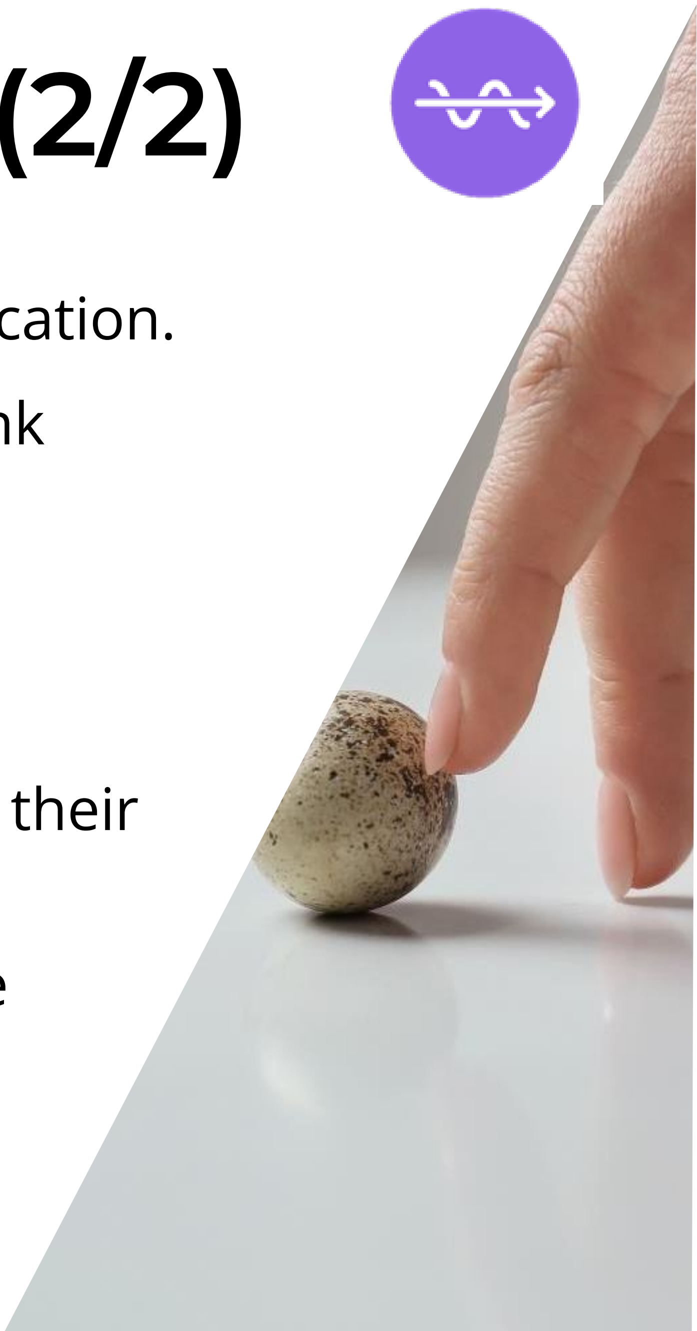


Keep it simple and practical (1/2)

Keep it simple and practical

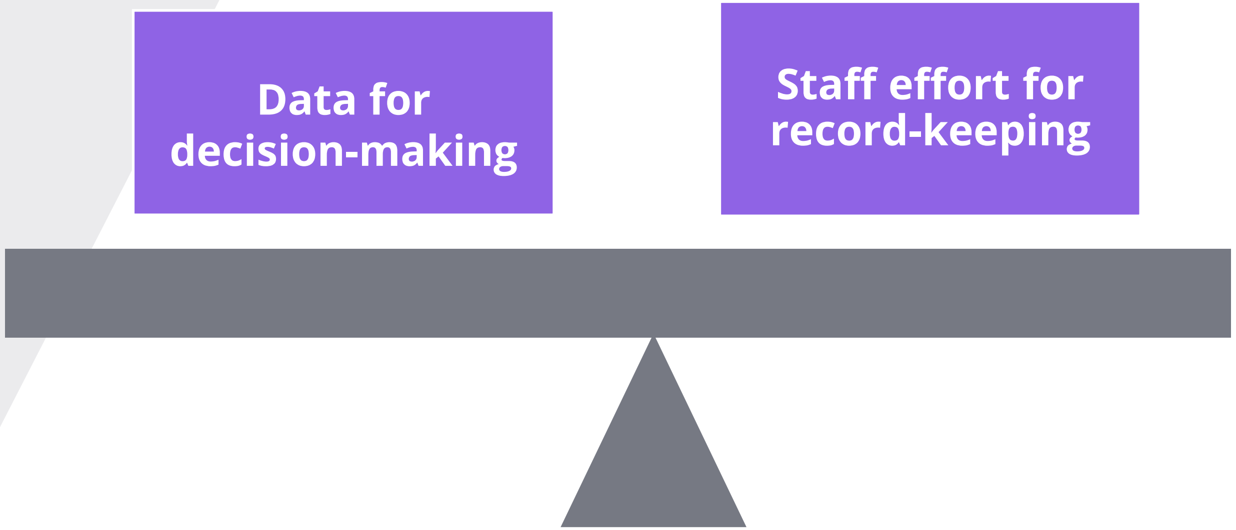
Always aim to minimize the number of steps to accomplish an objective. Apply outcome-based thinking to produce practical solutions. If a process, product, service, action, or metric fails to increase value or produce a useful outcome, then eliminate it.

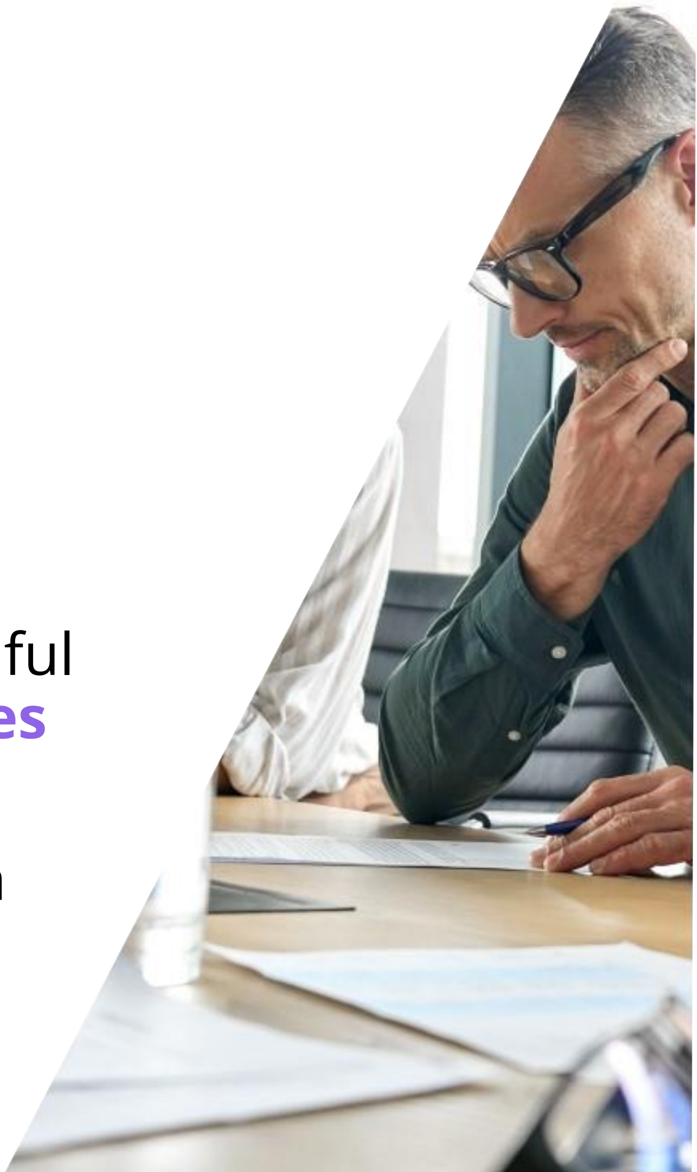
Keep it simple and practical (2/2)



- Providing a solution for every exception leads to over-complication.
- When creating a product or a practice, designers need to think about exceptions, but they cannot cover them all.
- Design rules to handle exceptions effectively.
- Understand how something contributes to value creation.
- Establish and share a holistic view so teams understand how their work influences and is influenced by others.
- Product teams should prioritize features that maximize value and dismiss those that do not.

Conflicting objectives





- When **designing**, managing, or **operating** practices, be mindful of conflicting **objectives** and find a way forward that **balances** competing **objectives.**
- **Product solutions** should generate only **relevant data**, with record-keeping optimized and automated.

Applying the principle

- **Ensure value.**
- **Simplicity** is the ultimate **sophistication.**
- **Do fewer** things but **do them better.**
- **Empower** through **trust, autonomy**, and **resources.**
- Easier to **understand,** more likely to **adopt.**
- Leverage **A**I to **simplify** and **automate.**

Optimize and automate

Technology can help organizations scale up and handle an increasing number of tasks, allowing people to do more complex decision-making. However, the use of technology, especially generative AI, should be subject to governance, ethical, and compliance policies and controls. Automation for automation's sake can increase costs, introduce significant risks, and undermine organizational resilience.

Optimize and automate

The road to optimization

ITIL supports optimization with structured guides, value stream mapping, and continual improvement practices.

Continually monitor the impact of optimization.

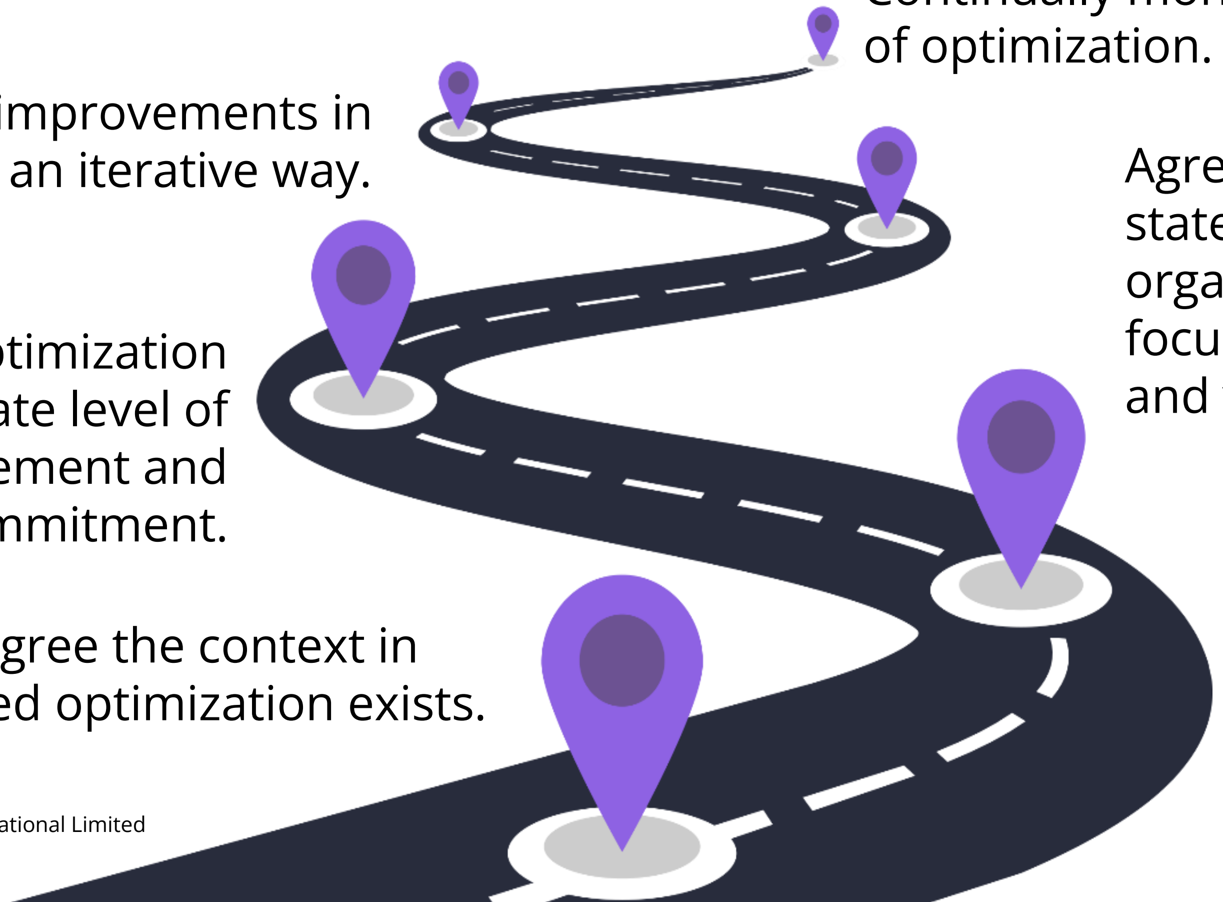
Execute the improvements in an iterative way.

Agree what the future state and priorities of the organization should be, focusing on simplification and value.

Ensure the proposed optimization has the appropriate level of stakeholder engagement and commitment.

Assess the current state of the proposed optimization.

Understand and agree the context in which the proposed optimization exists.



Using automation and AI

Technology performs **steps correctly and consistently** with limited or no human intervention.

AI enhances **automation** with **AI tools**, data insights, intelligent workflows, and chatbots.

Opportunities span the **entire organization,** but depend on good data, optimized workflows, and strong governance.

Applying the principle

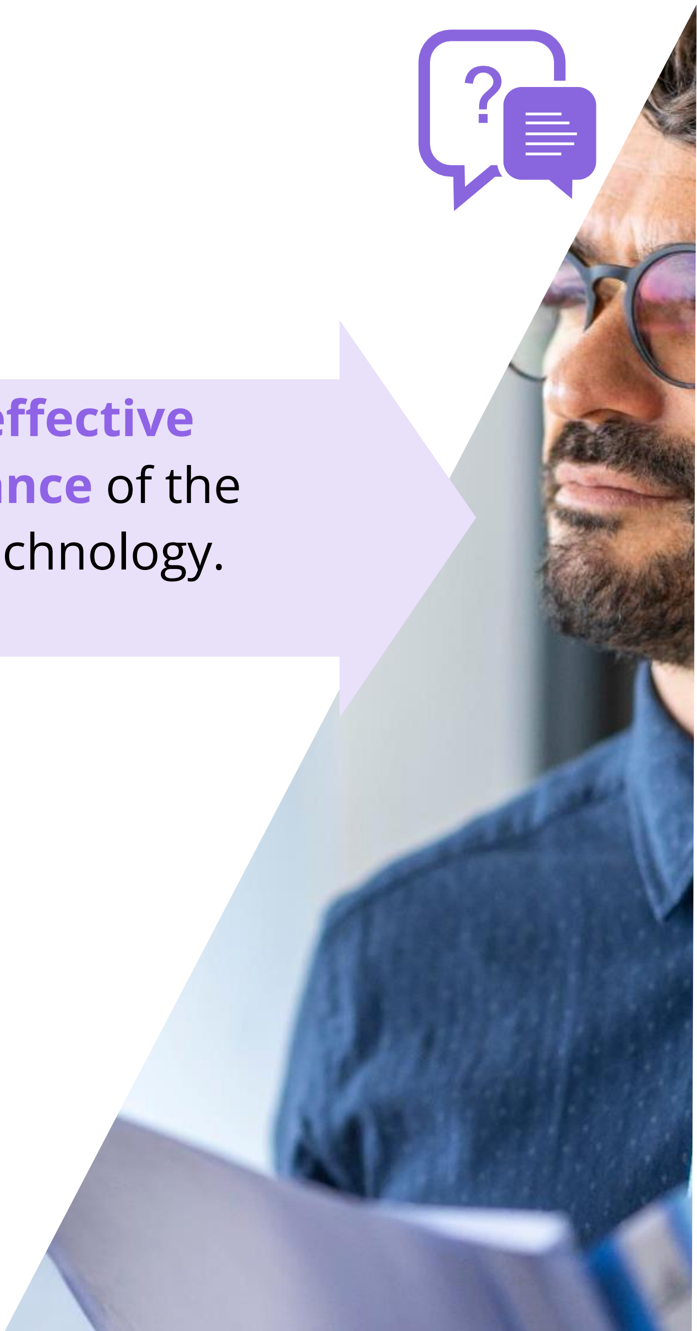
Simplify and/or **optimize** before automating.

Define metrics to match value.

Use the other **guiding principles.**

Leverage AI to enhance automation and monitoring.

Ensure **effective governance** of the digital technology.



Principles interaction

- The **ITIL Guiding Principles** interact with and depend on each other.
- Organizations should not rely on **just one** or **two principles**.
- Instead, they should consider the relevance of **all principles** and how they **complement** each other.
- There is no fixed order or hierarchy among the principles. All are equally important for the **Value System (VS)**.
- In practice, some **principles** may be **more critical** than others depending on the situation.